Introduction

In the previous section we learned about evaluating companies. We started with methods of generating investment ideas and get qualitative information from various sources and then analyze the companies to make investment decisions.

However when we think of investing in a business, we must determine whether the price at which the share is trading for that makes sense or not.It may happen that we buy an excellent company and still lose money if we buy at the wrong valuation.

So let us learn about Stock Valuation and this we will do from a retail investor's point of view. An institutional investor will use very sophisticated methods for it.